

while living in the parent's house, life is simpler and not as frightening. Why complicate things by adding expenses and budgets to their lives? But there will always be a trade-off for financial dependence. It could be loss of knowledge, freedom, or, in the most psychologically complicated cases, control.

There are some positive steps that Anne could have taken to avoid becoming a financial infant.

First, she could have gained financial knowledge on her own. By reading personal finance books and magazines, or listening to financial reporters, Anne could have acquired the confidence that she was at least educated about financial matters. This confidence could have proven a determining factor if she ever found herself on her own.

Secondly, Anne could have volunteered to assist friends of hers who were put in charge of the family finances. By assisting in this capacity, she could have observed valuable skills like balancing a checkbook, constructing a budget, or making investment decisions.

But I Have Perfect Credit

Young adults often have a mistaken notion of what “perfect credit” means. It is true that by making the required minimum payment on your credit cards and never sending in the payment late, your credit report will not have any negative entries. Making payments on time should be rewarded since it shows that you are reliable. But timely payments are only part of the story.

In addition to timeliness, your debt level is also important to your credit rating. You could have never missed a payment and still be overextended. Since the minimum payments are often only 2–4 percent of the total that you owe (i.e., \$20–\$40 on a \$1,000 balance), you can be heavily in debt and still manage to make all of the small, required monthly payments.

